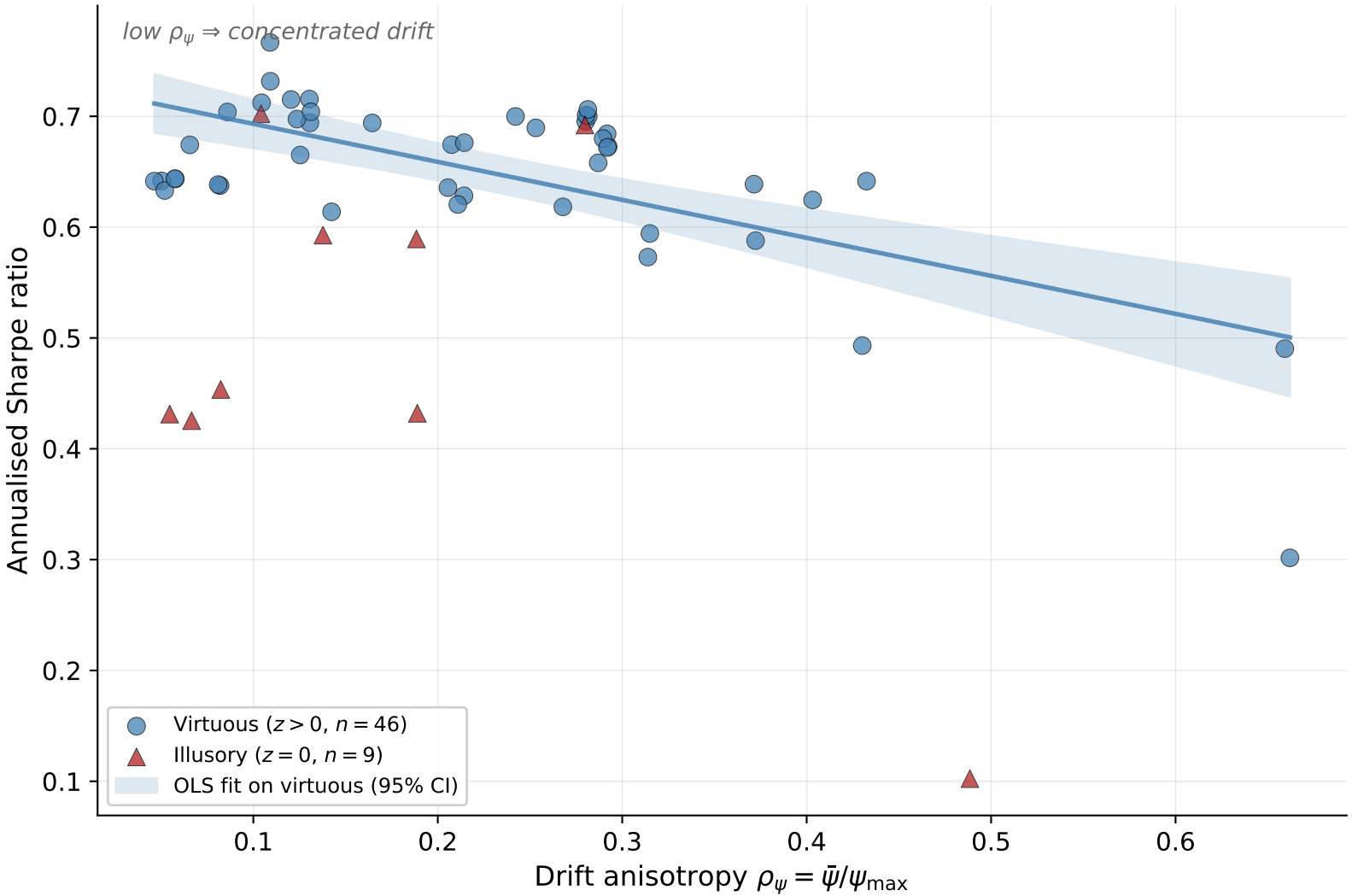
Synthetic: Drift anisotropy vs Sharpe
low $\rho_\psi \Rightarrow$ concentrated drift
Annualised Sharpe ratio
0.7
0.6
0.5
0.4
0.3
0.2
0.1
0.1
0.2
0.3
0.4
0.5
0.6
Drift anisotropy $\rho_\psi = \bar{\psi}/\psi_{\max}$
Virtuous ($z > 0$, $n = 46$)
Illusory ($z = 0$, $n = 9$)
OLS fit on virtuous (95% CI)